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# St. Joseph's College of Arts& Science (Autonomous)

**St. Joseph's College Road, Cuddalore – 607001**

**B.Com DEGREE EXAMINATION – APRIL 2021**

**CM305P - CORPORATE ACCOUNTING – I**

**Time: 3 hrs** **Max Marks: 75**

**SECTION- A (10x2=20)**

**Answer ALL the questions**

1. What is over subscription?
2. What do you understand by Forfeiture of shares?
3. What are preference shares?
4. Give a short note on minimum fresh issues of shares.
5. What is purchase consideration?
6. Write a note on 'Vendor Suspense Account'.
7. Explain the meaning of profits prior to incorporation.
8. How do you calculate Time ratio?
9. What do you understand by company final accounts?
10. What are divisible profits?

**SECTION – B (5 X 5 = 25)**

**Answer any FIVE questions**

11. On 1.1.2008, R Ltd., offers 10,000 shares of Rs. 10 each payable as follows:

| | |
|---|---|
| On application | Rs. 3 per share |
| On allotment | Rs. 2 per share |
| On first call | Rs. 3 per share |
| On final call | Rs. 2 per share |

All the shares are subscribed and amounts duly received. Pass journal entries.

12. A company forfeited 10 shares of Rs. 10 each issued at a premium of 10% for nonpayment of the final call of Rs. 3 per share. Out of these, 7 shares were reissued at Rs. 8 per share as fully paid up. Give journal entries.

13. The following extract from the balance sheet of Gayathri Co. Ltd. as on 31st December 1997, is given to you.

Share capital:

| | |
|---|---|
| 2,00,000 Equity shares of Rs. 10 each | Rs. 2,00,000 |
| 3,00,000 6% redeemable Preference shares of Rs. 10 each | Rs. 30,00,000 |
| Capital reserve | Rs. 15,00,000 |
| General reserve | Rs. 9,00,000 |
| Profit & Loss account | Rs. 25,50,000 |

The company exercises its option to redeem the preference shares on 1st January 1998. The company has sufficient cash.

Give journal entries to record the redemption.

14. Explain the various methods of computing purchase consideration on acquisition of business.

15. From the following data, calculate profit prior to incorporation:

Time ratio 1 : 2
Sales ratio 1 : 3
Gross Profit Rs. 1,70,500
Administrative expenses Rs. 69,600
Expenses relating to sale Rs. 18,600
Preliminary expenses Rs. 11,560

16. From the following particulars, determine the maximum remuneration available to a full time director of a manufacturing company.

The Profit and Loss account of the company showed a net profit of Rs. 40,00,000 after taking into account the following items:

| | | |
|---|---|---|
| i. | Depreciation (including special depreciation of Rs. 40,000) | Rs. 1,00,000 |
| ii. | Provision for income tax | Rs. 2,00,000 |
| iii. | Donation to political parties | Rs. 50,000 |
| iv. | Ex-gratia payment to worker | Rs. 10,000 |
| v. | Capital profit on sale of assets | Rs. 15,000 |

17. X Ltd., had earned Rs. 6,00,000 profit on 31.12.2007 which is appropriated as follows:

a. Rs. 50,000 towards debenture redemption fund;
b. 8% preference dividend (tax free), tax being 20% on Rs. 6,60,000
c. 10% ordinary dividend, tax being 20% on Rs. 20,00,000;
d. Rs. 74,000 to general forward;
e. Balance to be carried forward

Prepare Profit & Loss appropriation account.

**SECTION – C (3 X 10 = 30)**

**Answer any THREE questions**

18. A Ltd. invited applications for 10,000 shares of Rs.100 each at a discount of 5% payable as follows:

| | |
|---|---|
| On application | Rs.25 |
| On allotment | Rs.34 |
| On first & final call | Rs.36 |

Applications were received for 9,000 shares and all of these were accepted. All moneys due were received except the first and final call on 100 shares which were forfeited. Of these forfeited shares, 50 shares were reissued at the rate of Rs.90 as filly paid. Show necessary journal entries in the books of the company.

19. On 30th June 1998, the balance sheet of Sandhya Ltd., stood as follows:

| Liabilities | Rs. | Assets | Rs. |
|---|---|---|---|
| Equity share capital | 10,00,000 | Sundry assets | 14,00,000 |
| Redeemable Preference | | Bank | 5,00,000 |
| share capital | 4,00,000 | | |
| P & L account | 3,00,000 | | |
| Sundry Creditors | 2,00,000 | | |
| | 19,00,000 | | 19,00,000 |

On the above date, the preference shares had to be redeemed. For this purpose 2,000 equity shares of Rs. 1100 each were issued at Rs. 110. The company also issued 8% debentures totaling Rs. 3,00,000. The preference shares were duly redeemed. Give journal entries and the balance sheet after redemption.

20. On 31st December 1998, the following was the balance sheet of a firm:

| Liabilities | | Rs. | Assets | Rs. |
|---|---|---|---|---|
| Capital account: | | | Fixed assets: | |
| A | 55,000 | | Factory building | 33,000 |
| B | 55,000 | 1,10,000 | P & M | 42,000 |
| Sundry creditors | | 40,000 | Furniture | 5,000 |
| | | | Current assets: | |
| | | | Stock at cost | 15,000 |
| | | | Sundry debtors | 35,000 |
| | | | Cash in hand & bank | 20,000 |
| | | 1,50,000 | | 1,50,000 |

On 1st January, 1999, the firm was converted into a limited company on the following terms:

i. Debtors and creditors of the firm were not to be taken over as well as the cash balances.
ii. Assets were revalued as to furniture at Rs. 3,000, Plant and Machinery at Rs. 40,000 and the building at Rs. 35,000.
iii. Preliminary expenses amounting to Rs. 2,000 were disbursed by the firm to be recovered from the company.
iv. As purchase consideration, the partners were to be allotted at par 13,000 equity shares of Rs. 10 each. They were also entitled to receive Rs. 20,000 in cash.

Give journal entries and submit the balance sheet as at 1sy January 1999, of the limited company, assuming the authorized capital to be Rs. 2,00,000 made up whole of equity shares of Rs. 10 each.

21. Star and Co was incorporated on 1-7-2010 to take over the business of Sky & Co. as a going concern from 1-4-2010. The Profit and Loss Account for the year ending 31-3-2011 was as follows:

Dr. Profit and loss Account of Star & Co for year ended 31-3-2011 Cr.

| *Particulars* | *Rs.* | *Particulars* | *Rs.* |
|---|---|---|---|
| To Rent and Taxes | 15,000 | By Gross Profit | 2,26,200 |
| To Insurance | 5,000 | | |
| To Electricity Charges | 3,600 | | |
| To Salaries | 48,000 | | |

| | | | |
|---|---|---|---|
| To Director's Fees | 5,000 | | |
| To Auditor's Fees | 2,400 | | |
| To Commission | 10,000 | | |
| To Advertisement | 5,500 | | |
| To Discount | 6,400 | | |
| To Office expenses | 10,000 | | |
| To Carriage | 5,000 | | |
| To Bank Charges | 4,500 | | |
| To Bad Debts | 4,400 | | |
| To Preliminary Expenses | 9,600 | | |
| To Interest on Loan | 3,800 | | |
| To Net Profit | 88,000 | | |
| | 2,26,200 | | 2,26,200 |

The total turnover for the year ending 31-3-2011 was Rs. 8,00,000 divided into Rs. 2,50,000 for the period up to 1-7-2010 and Rs. 5,50,000 for the remaining period. Ascertain the Profits earned prior to the incorporation of the company.

22. From the following balances as on 31st December 2004 of a limited company, prepare P & L account for the year ended and Balance sheet as on that date:

| Debit Balances | Rs. | Credit Balances | Rs. |
|---|---|---|---|
| Stock on 1.1.04 | 33,380 | Subscribed & Paid up | |
| Discounts | 6,788 | capital | 50,000 |
| Land | 22,000 | Sales | 1,46,268 |
| Plant & Machinery | 10,700 | Sundry receipts | 200 |
| Purchases | 91,888 | Creditors | 39,532 |
| Furniture | 2,750 | Provision for bad | |
| Debtors | 63,600 | debts | 5,300 |
| P&L account (Dr.) | 4,960 | Discount (Cr.) | 5,904 |
| Carriage | 3,780 | Bank overdraft | 13,823 |
| Wages | 9,016 | Customer's deposit | 400 |
| Bad debts | 1,820 | | |
| Office expenses | 10,275 | | |
| Cash on hand | 470 | | |

The following adjustments have to be made:

(a) Stock on December 31, 2004 is Rs. 35,460
(b) Depreciation on Plant & Machinery at10% and Furniture 6%
(c) Provide 10% for bad and doubtful debts
(d) Customer's deposit has been forfeited
(e) Proposed dividend at 10%
(f) Provision for taxation Rs. 7,500.
(g) The Managing director is entitled to 10% commission on net profits before charging such commission.

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